

ITS316C
Business Canvas model

What is a Business Model

- . A business model is a company's core strategy for profitably doing business.
- . Models generally include information like products or services the business plans to sell, target markets, and any anticipated expenses.
- . There are dozens of types of business models including retailers, manufacturers, and fee-for-service.
- . The two levers of a business model are pricing and costs.
- . When evaluating a business model as an investor, consider whether the product being offer matches a true need in the

market.

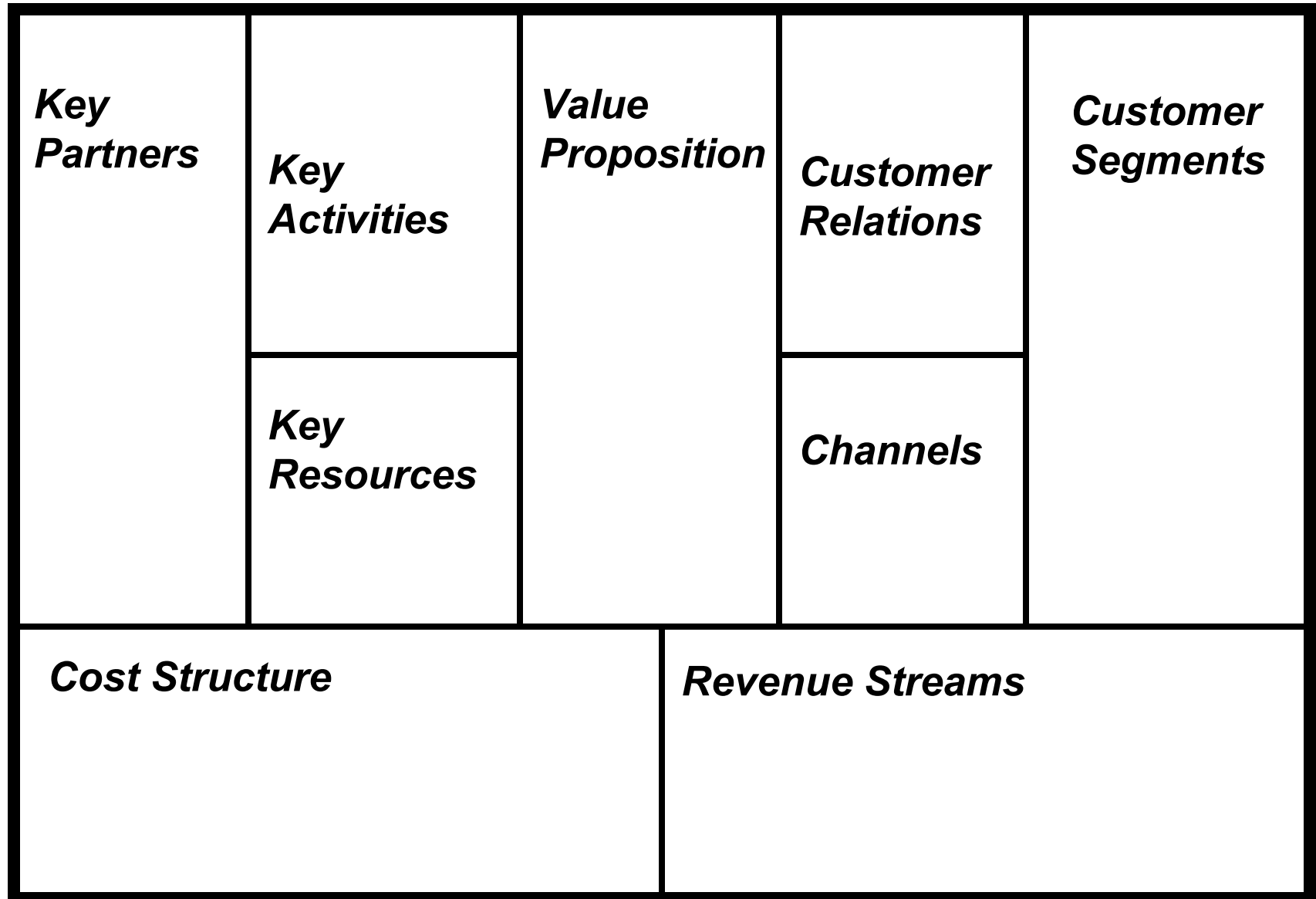
What is a business model canvas

A business model canvas is a visual representation of a business model, highlighting all key strategic factors. In other words, it is a general, holistic, and complete overview of the company's workings, customers, revenue streams and more.

Nine Blocks of the Business Model Canvas

- 1. Customer Segments**
- 2. Value propositions**
- 3. Channels**
- 4. Customer relationships**
- 5. Key Resources**
- 6. Key Activities**
- 7. Key Partnerships**
- 8. Cost structures**
- 9. Revenue streams**

Business Model Canvas



1. Customer Segments

For whom are we creating value?

Who are our most important customers?

Do they require different forms of relationships?

Do they produce different profitability levels?

- **Mass Market:** focus on one large group, i.e., consumer electronics
- **Niche Market:** specific segments, i.e., supplier-buyer relationships like auto parts manufacturers
- **Segmented:** different needs and problems, i.e., banks and professional services (engineering, consultants)
- **Diversified (when an organization serves two unrelated customer segments with different needs and wants):** unrelated segments, i.e., Amazon selling products, books, DVDs and providing food & computer services
- **Multi-sided platforms (middleman):** credit card companies, i.e., card holders and merchants (suppliers, wholesalers, retailers)

2. Value Proposition: Five Key Values

Reason why customers choose one company/startup over another
It solves a customer problem or satisfies a need and helps solve customer's problem

Each VP consists of a selected bundle of products/service(value) that responds to a specific segment

Could be in the form of:

- ***Product:*** Performance, quality, features, brand, easy to use, safe.
- ***Price:*** Fair, visible, consistent, reasonable.
- ***Access:*** Convenient location, found in reasonable time.
- ***Service:*** Ordering, delivery, return, check-out.
- ***Experience:*** Emotional, respect, ambience, fun, intimacy.

3. Channels

How does the firm/startup communicate with and reach customer segments using the VP? How do they want to be reached? How are they integrated?

Communication: marketing message, raising awareness, customer evaluation

Distribution: delivering value proposition

Sales: places to purchase product or services

Finding the right mix of channels is crucial to bringing a value proposition to market.

If you go to a Nike store or the Nike website to purchase a pair of their shoes you would be using a direct sales channel. Buying them through websites like Zappos and Amazon, or purchasing them at any other sporting goods stores is an example of an indirect sales channel

Channel Types

Own (direct)

Owned Channels can be an in-house sales force or a Web site, or retail stores owned or operated by the organization. Owned Channels have higher margins but can be costly to put in place and to operate.

Partner

(indirect)

An indirect distribution channel involves intermediaries that perform a company's distribution functions. Indirect distribution frees the manufacturer from certain startup costs and responsibilities that can cut into the time it needs to spend on running the business.

**Sales
Force**

**Web
Sales**

**Own
Stores**

**Partner
Stores**

Wholesale

E.g.: If you go to a Nike store or the Nike website to purchase a pair of their shoes you would be using a direct sales channel. Buying them through websites like Zappos and Amazon, or purchasing them at any other sporting goods stores is an example of an indirect sales channel

Channel Phases

1. **Awareness:** How to raise awareness of products?
2. **Evaluation:** How do customers evaluate products?
3. **Purchase:** How and where do customers buy?
4. **Delivery:** How do we deliver value proposition?
5. **After Sales:** How provide post-purchase support?

4. Customer Relationships

What type of relationship does the startup want to have with each customer segment?

This might be driven by: Customer acquisition, customer retention, repeat business - Boosting sales (upselling and cross selling)

Personal Assistance

Dedicated Personal Assistance

Self-service

Automated service

User communities

Co-creation of innovative products

5. Key Resources

What are the key assets required to make the model work? Eg. New IT innovation startup

Do not have to be owned, could be leased, or contracted:

- **Physical:** facilities, buildings, equipment
- **Human:** especially for creative industries
- **Financial:** sources of funding
- **Intellectual:** patents, copyrights, partnerships, customer databases

6. Key Activities

Most important key activities to make the model work

- **Production:** designing, making, delivering
- **Problem solving** consulting, services, hospitals
- **Platform/network:** software, networks, social media, brands, platform promotion

Eg. Think Dell, Kulula, Bain Consulting

7. Key Partnerships

Defines the networks required ie partners and suppliers to make model work

Strategic alliances between non-competitors and financial sources

- Strategic partnerships between competitors eg MB and Audi
- Joint Ventures
- Buyer-supplier relationships to assure reliable supplies

8. Cost Structure

Define all costs incurred to operate business model. Delivering value, maintaining relationships, and generating revenue incurs costs:

- Cost-driven model:** minimize costs, low prices, maximum automation, extensive outsourcing, process innovation
- Value-driven model:** value creation, premium values, personalized service, product innovation

9. Revenue Streams

Represents cash a startup generates from each customer segment: Question is how much should they pay to get perceived value?

- One-time customer purchases
- Recurring revenues
- Asset sales, Usage fee, Subscription fees, Lending/Renting/Leasing, Licensing
- Pricing considerations

KEY PARTNERS  Who are our Key Partners? Who are our Key Suppliers? Which Key Resources are we acquiring from partners? Which Key Activities do partners perform? Motivations for Partnerships: - Optimization with economy - Reduction of risk and uncertainty - Acquisition of partner resources and abilities	KEY ACTIVITIES  What Key Activities do our Value Propositions require? Our Distribution Channels? Customer Relationships? Revenue Streams? Categories: - Production - Problem Solving - Platform Network	VALUE PROPOSITIONS  What Key Activities do our Value Propositions require? Our Distribution Channels? Customer Relationships? Revenue Streams? Categories: - Production - Problem Solving - Platform Network	CUSTOMER RELATIONSHIPS  What type of relationship does each of our Customer Segments expect us to establish and maintain with them? Which ones have we established? How are they integrated with the rest of the business model? How costly are they? Examples: - Personal assistance - Dedicated Personal Assistance - Self-Service - Automated Services - Communities - Co-creation	CUSTOMER SEGMENTS  For whom are we creating value? Who are our most valued customers? Examples: - Mass market - Niche market - Segmented - Diversified - Multi-sided Platforms
COST STRUCTURE  What are the most important costs inherent in our business model? Which Key Resources are the most expensive? Which Key Activities are the most expensive? Is your business: - Cost Driven (described into structure, low prices, value proposition, transparent customers, extensive outsourcing) - Value Driven (focused on value creation, premium value proposition) Sample Characteristics: - Fixed Costs (salaries, rent, utilities) - Variable Costs - Economies of Scale - Economies of Scope	REVENUE STREAMS  For what value are our customers really willing to pay? For what do they currently pay? How are they currently paying? How would they prefer to pay? How much does each Revenue Stream contribute to overall revenues? <table border="0"> <tr> <td> Types: - Asset Sale - Usage Fee - Subscription / Fee - Licensing/Licensing - Advertising / Sale - Royalties </td> <td> Price/ Pricing: - List Price - Product feature dependent - Customer segment dependent - Volume dependent </td> <td> Revenue Pricing: - Negotiation - Yield management - Real-time market </td> </tr> </table>	Types: - Asset Sale - Usage Fee - Subscription / Fee - Licensing/Licensing - Advertising / Sale - Royalties	Price/ Pricing: - List Price - Product feature dependent - Customer segment dependent - Volume dependent	Revenue Pricing: - Negotiation - Yield management - Real-time market
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SECTION KEY

 CUSTOMER FOCUS

 FINANCIAL VIABILITY

 INFRASTRUCTURE

 OFFER

INNOVATION WORKSHOPS AND TRAINING

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BUSINESS MODEL CANVAS

KEY PARTNERS Who are your key partners?	KEY ACTIVITIES What are the activities you perform every day to deliver your value proposition?	VALUE PROPOSITION What is the value you deliver to your customer? What is the customer need that your value proposition addresses?	CUSTOMER RELATIONSHIPS What relationship does each customer segment expect you to establish and maintain?	CUSTOMER SEGMENTS Who are your customers?
	KEY RESOURCES What are the resources you need to deliver your value proposition?		CHANNELS How do your customer segments want to be reached?	
COST STRUCTURE What are the important costs you make to deliver the value proposition?			REVENUE STREAMS How do customers reward you for the value you provide to them?	



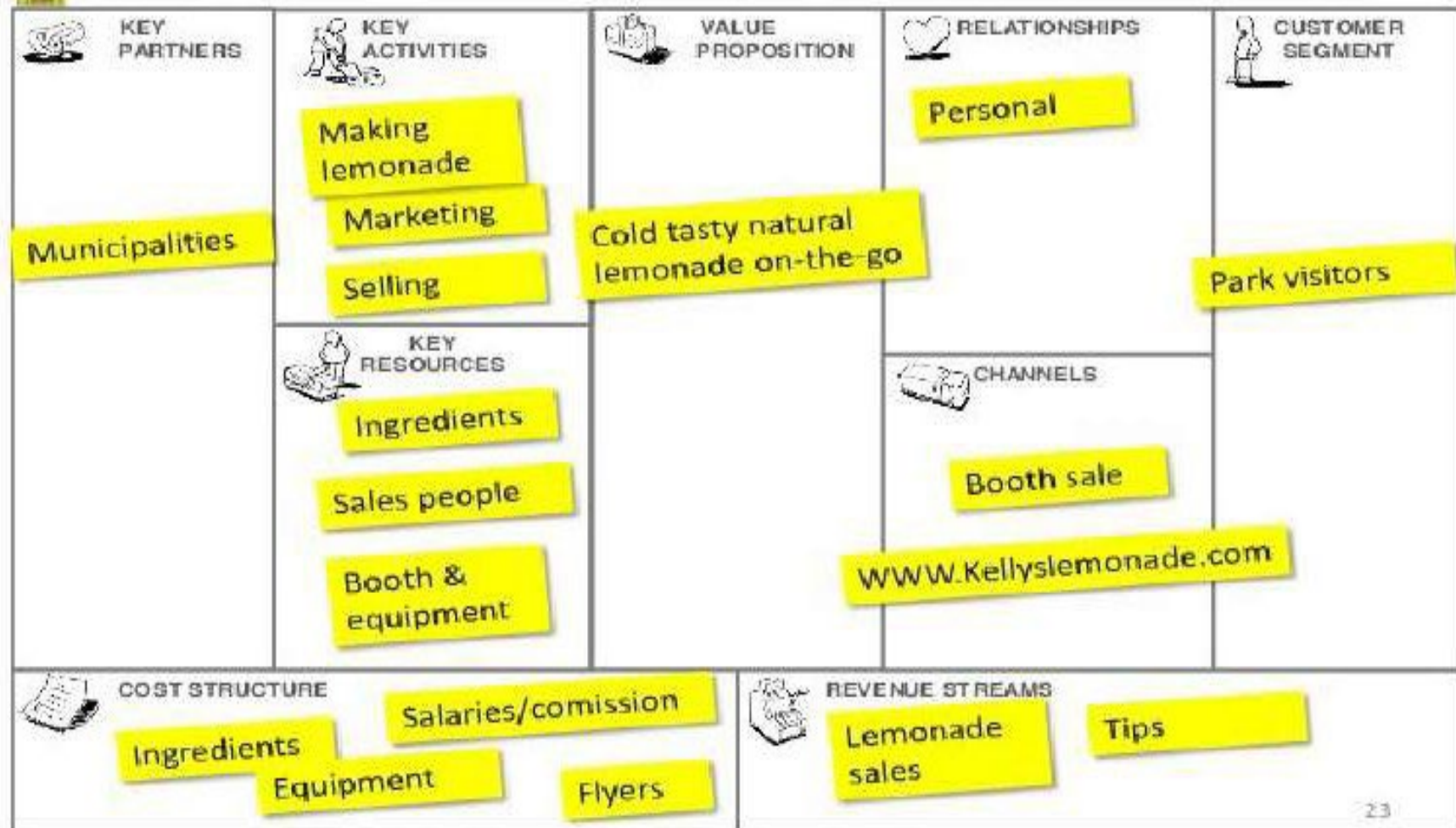
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**What about your Assignment or Company
or Startup????**



Kelly's Lemonade Stand: Refreshing Lemonade



The Business Model Canvas

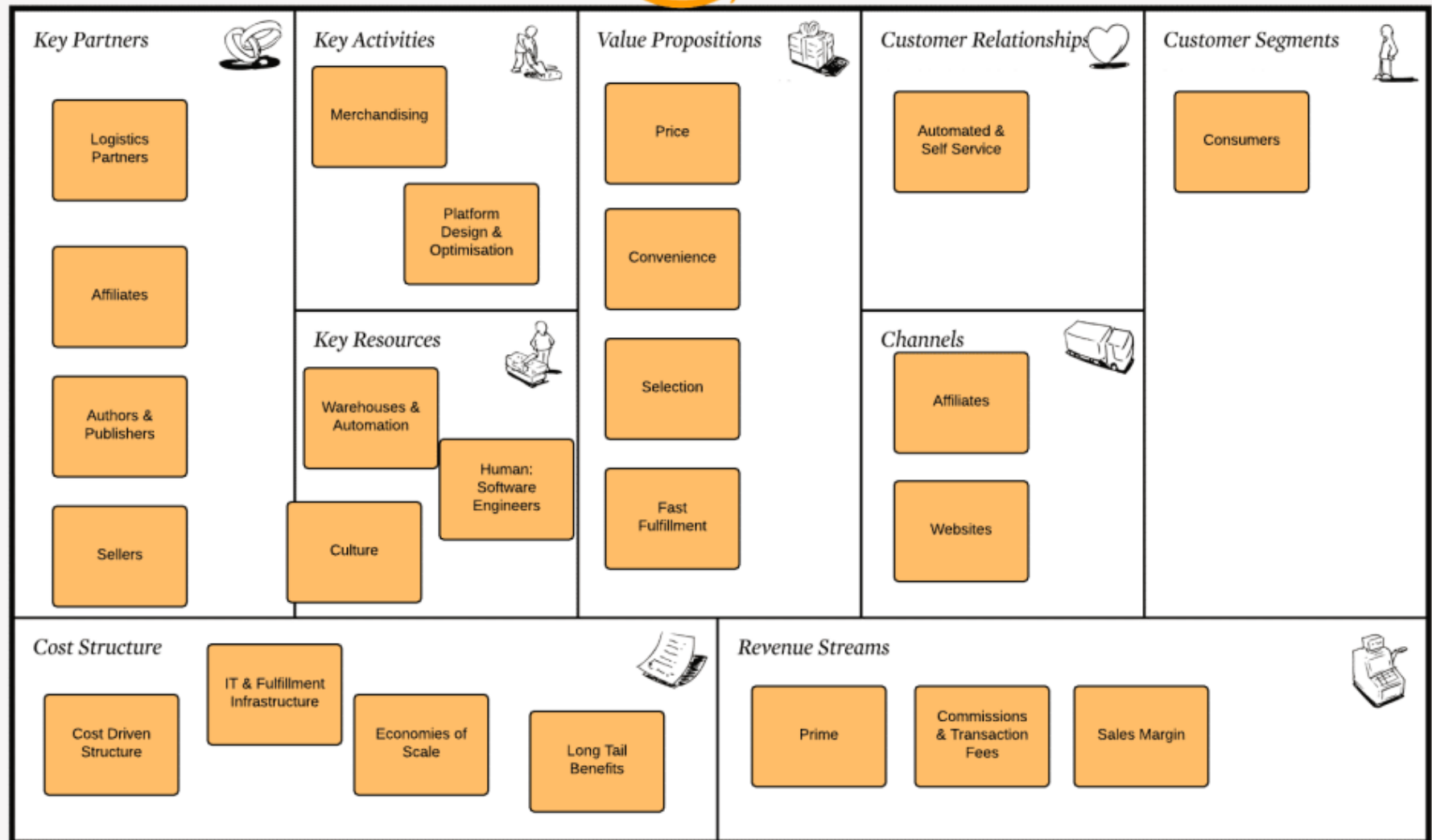
Designed for:

amazon

Designed by:

Denis Oakley

On:
Iteration:



Business Model Canvas for Apple



- Business Model Canvas

